



universidade de aveiro
theoria poiesis praxis

Programa, Bibliografia e Avaliação

Ano Letivo 2025/2026 – 1º Semestre

Horas Letivas Semanais (T | TP | P): 0 | 4 | 0

Departamento de Economia, Gestão, Eng.^a

Industrial e Turismo

Complementos de Finanças Empresariais / Advanced Corporate Finance (24h de contacto – 6 aulas / 24h hours of contact – 6 classes)

Docente: Mara Teresa da Silva Madaleno

Sala: 10.2.5

Horário: 16h-20h

Gabinete: 10.2.21

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Objetivos:

Complementos de finanças empresariais desenvolve a “arte e a ciência” de decisões de estratégia ótimas ao aplicar a teoria das finanças empresariais a casos de decisão financeira. Providencia uma análise teórica e empírica de financiamento empresarial e de decisões de investimento. Cobre tópicos avançados de finanças empresariais incluindo avaliações complexas, estrutura de capital estática e dinâmica, gestão de risco e opções reais. Também considera questões de estabelecimento de preços de ativos, reestruturação, falência, controlo empresarial e governança e questões de finanças internacionais.

O estudante será capaz de entender como as empresas tomam as suas decisões de estrutura de capital; identifica que fatores influenciam as decisões de fusões e aquisições; entende como os mecanismos de governação podem influenciar as estratégias da empresa; providencia oportunidades de investimento internacional empresarial; analisa a aplicação das opções reais na avaliação de projetos.

Goals:

Advanced Corporate Finance develops the “art and science” of optimal strategic decision-making by applying corporate financial theory to financial policy, financial instruments, and valuation cases. Theoretical and empirical analyses of corporate financing and investment decisions. Covers advanced topics in corporate finance, including complex valuations, static and dynamic capital structure, risk management, and real options. It also considers security design, restructuring, bankruptcy, corporate control and governance, and international finance issues.

Students will be able to understand how firms make decisions on their capital structure, understand which factors influence mergers and acquisitions decisions, comprehend how corporate governance mechanisms can influence company strategies, provide opportunities for international corporate finance, and realize how firms use real options in evaluating projects.

Programa:

- 1) Teorias modernas de Estrutura de Capital (EC) e testes empíricos (teorias de tradeoff versus pecking order theory; Descrição administrativa e EC; Teste a teorias de EC; Teorias de inércia: retornos e EC; Capital Próprio, Timing do mercado e EC; Custos de ajustamento).
- 2) Governança Empresarial (Governança e retornos; Quadros de direção: teorias e evidência; Compensação dos quadros; Sobreavaliação de mercado e fraude empresarial).
- 3) O mercado para controlo corporativo (Modelos de takeover; Retornos e aquisições; Fusões e investidores inertes; Evidência recente sobre fusões e aquisições).
- 4) Finanças Empresariais Internacionais (Origem legal e finanças; Grupos de negócio e empresas familiares; Alternativas de financiamento internacional e tendências de governação).
- 5) Diversificação Empresarial (Conglomerados; A controvérsia do desconto de diversificação; Opções reais, tipos e decisão de investimento).

Program:

- 1) Recent Capital structure (CS) Theories and Empirical Tests (Tradeoff versus pecking order theories; Dynamic Models of CS; Managerial discretion and CS; Testing CS theories; Inertial theories: Stock returns and CS; Equity, Market Timing and CS; Adjustment Costs).
- 2) Corporate Governance (Governance and Equity returns; board of Directors: theories and evidence; Executive Compensation; market overvaluation and Corporate Fraud).
- 3) The market for Corporate Control (Takeover models, stock returns and acquisitions, mergers and inertial investors, recent evidence on takeovers).
- 4) International Corporate Finance (Legal origins and Finance; Business Groups and Family firms; International variation in financing and governance patterns).
- 5) Corporate Diversification (Conglomerates; the diversification discount Controversy; real options, types, and investment decisions).

Bibliografia/Bibliography:

Artigos científicos vários a disponibilizar / Several scientific articles to be provided

Berk, J. B., & DeMarzo, P. (2014). Corporate finance (3rd global ed.). Pearson Education.

Brealey, R.A., Myers, S.C., Allen, F. (2017). Principles of Corporate Finance, McGrawHill Education, 12nd Edition, ISBN 978-1-259-14438-7, New York.

Constantinides, George M. (2017). Handbook of the Economics of Finance. North Holland.

Damodaran, A. (2014). Advanced Corporate Finance. Wiley. Fourth Edition. ISBN: 978-1-118-80893-1

Grinblatt, M. & Titman, S. (2002). Financial Markets and Corporate Strategy, 2nd ed., Irwin/McGraw-Hill. (ISBN 9781121125766), (ISBN 9781121125759).

Hillier, D., Grinblatt, M. & Titman, S. (2012). Financial Markets and Corporate Strategy, European edition, McGraw Hill Irwin. ISBN-13 978-0-07712942-2. Available at: <http://down.cenet.org.cn/upfile/10/2013410233155145.pdf>

Hillier, D., Ross, S.A., Westerfield, R.W., Jaffe, J. & Jordan, B. (2011). Corporate Finance, European edition, McGraw Hill Irwin.

Holden, C.W. (2015). Excel Modelling in Corporate Finance, Pearson Education, 5th Edition, ISBN 978-0-205-98725-2, England.

Ogden, J.P., Jen, F.C. and O'Connor, P.F. (2002), Advanced Corporate Finance, Policies and Strategies, Prentice Hall, Upper Saddle River, New Jersey.

Ross, S.A., Westerfield, R.W., Jordan, B.D. (2017). Essentials of Corporate Finance, McGrawHill Education, 9th Edition, ISBN 978-1-259-27721-4, New York.

Wajeeh, E. & Trainor, T. (2009). Advanced Corporate Finance: A Practical Approach, First Edition 1st Edition, ISBN-10: 0321494075, ISBN-13: 9780321494078, Pearson Education Canada

Método de ensino e avaliação:

Leituras orientadas e exploração de artigos científicos e livros.

O foco desta UC é a aplicação da teoria das finanças empresariais às empresas do mundo real. Isto será conseguido através de discussões do trabalho teórico e empírico já desenvolvido, bem como na resolução e análise de casos de estudo delineados para um vasto conjunto de indústrias e empresas, que serão ilustrativos de um conjunto de decisões financeiras. Homework assignments e outras atividades empíricas serão desenvolvidas pelos alunos em sala de aula. As aulas serão expositivas com recurso à análise de casos de estudo e análise e desenvolvimento em sala de aula de trabalho empírico e teórico.

Cada um dos tópicos do programa será analisado com recurso a material expositivo, através da análise de artigos científicos de referência que cobrem tanto a matéria teórica relacionada como a parte empírica.

A metodologia de avaliação será a da **avaliação discreta**:

1 Trabalho Empírico (60%—10% Apresentação (P) + 50% Parte Empírica (EP)); primeira tentativa de aplicação metodológica sobre um tema a definir individualmente. A apresentação será na última aula, podendo o trabalho final ser entregue até ao final de novembro de 2025.

1 revisão crítica (CR) de um artigo científico (40% = 30% + 10% P) com enfoque na parte metodológica – entrega na terceira aula de CFE de 2025 (discussão das metodologias aplicadas no artigo de revisão crítica e diferentes possibilidades em sala de aula de modo individual (documento escrito 30%): avaliasse a capacidade de discussão em sala de aula – 10% NF (P)).

A nota final (NF) resultará da seguinte ponderação:

$$\text{NF} = 20\% \text{ P} + 30\% \text{ CR} + 50\% \text{ EP}$$

Evaluation and teaching method:

Reading-oriented materials and exploration of scientific articles and books.

The focus of this course is the application of corporate finance theory to real-life corporations. This will be accomplished through discussions of the theoretical and empirical work already performed on each program topic and hands-on analysis of real-life cases regarding corporate finance issues. Business case studies are drawn from various industries and countries and illustrate a range of financial decisions. Students in the classroom develop homework assignments and empirical course activities. Classes will follow the exposition method using case studies and analyzing and developing theoretical and empirical work.

Each program topic will be analyzed using expository materials, including the analysis of referenced scientific articles covering both theoretical and empirical subjects.

Discrete evaluation:

1 Empirical Work (60% - Presentation (P) + 50% Empirical Part (EP)); first attempt at methodological application on a topic to be defined individually. The presentation will be in the last class, and the final work can be delivered by the end of November 2025.

1 critical review (CR) of a scientific article (40% = 30% + 10% P) focusing on the methodological part – delivery in the third CFE class of 2025 (discussion of the methodologies applied in the critical review article and different possibilities in the classroom individually (written document 30%): evaluate the ability to discuss in the classroom – 10% NF (P)).

The final grade (NF) will result from the following weighting:

$$\text{NF} = 20\% \text{ P} + 30\% \text{ CR} + 50\% \text{ EP}$$

Template for critical reviews:

- Identify the student (name and number) and article reference (duly presented).
- Do each critical revision in no more than 10 pages.
- A summary of the article read (purpose, data, methodology, main conclusions ...)
- Provide a literature review in table format about the article subject (in the table, you must have the author's identification in the citation, the main goal, data used, methodology, and main conclusions).
- Identified strengths and weaknesses (presented text, data, methodology, results, conclusions, references, ...)
- Relate to previous literature and see if the article contributed to adding scientific knowledge
- Specific advice on improvements that can be made
- "If you were to reproduce the article, how would you do it?" Would you change anything?
- Provide future research tips
- Basically, you should seek to answer the following questions: Does the article describe a major problem, or is it based on a formulated question? Was the order of specification and exposure of the different subjects correct? Does the text follow consistent logic? What are the authors' objectives? Have they been achieved? What methods have been used, and if they have been duly specified? Were the methods used for data analysis and specification correct and well-specified? Are the results credible and important to produce scientific knowledge? What conclusions were drawn, and are they justified by the results discussed? Does the subject matter present a review of the appropriate literature? If not, what other references can be used? Is the type of study appropriate? Is the methodology appropriate? What other avenues of future research may derive from here?
- Provide a list of appropriate bibliographical references in the critical analysis and the summary table.

Empirical Work:

This work consists of searching for an article (it can be the article of the critical review) and trying to reproduce it using available data. A research question must be identified properly, the contribution must be identified, a brief literature review presented, data must be collected, and

empirical work must be done using existing software (all the necessary help in the model implementation and data collection process will be provided to the student if requested). Conclusions about empirical implementation must be undertaken.

Goal: Completion and delivery of a short research paper that extends the existing literature and uses available databases. Parts to be included:

- Author's identification
- Abstract and keywords
- Introduction
- Brief Literature Review (to be continued in Financial Theory)
- Methodology and data
- Empirical Results presentation and discussion
- Conclusions
- References
- Annex if necessary

Maximum number of pages: 25/30

Useful tips....

Short Research Idea: For many PhD students, the most difficult part of the program is the search for a dissertation topic. To gain some experience selecting research topics, one course requirement is to prepare a proposal for a project concerning the course issues. You should target writing down a document containing:

1) One or two pages motivating the idea/research question. You want to identify a question, explain why it is important that I know more about it (i.e., its implications for research in corporate finance, policymaking, etc.), and make the case that the existing literature has overlooked the issue.

2) Once you motivate your research question, you need to think about the economics of your inquiry. This would take 1-2 pages. For example, what are the tradeoffs involved? What kinds of corporate actions/consequences do they entail? Should I expect to verify them using real-world data? How to design an identification strategy for empirical testing? Should I check the idea via simulations? What are the methods you use and why?

3) Anticipating the results: What results should be expected based on priority? (What if I find something else?) Discussing this should take a few paragraphs.

4) Add a literature review. In this profession, it is important that you recognize (and give credit to) those who did prior research in the area you want to do your first paper. Do a fair (not aggressive, but still critical) literature review in under three pages.

The emphasis should be on establishing your case that the “void” in the literature is worth pursuing. Try to organize the papers in a compare/contrast format. Like all you do in the paper, use this to motivate the importance of your research question.

5) Take a page or two to discuss “implementation issues” such as data availability, sample construction, programming (computer capacity) needs, replicability, etc.

6) Have some preliminary results for us to discuss. These can be empirical results, simulations/calibrations, or anything that gives us “hope” that this is more than a bunch of nice-sounding ideas that will never see the light of day.

7) The last part of the requirement regarding this assignment is a presentation of your research idea. I am not expecting a paper to go straight to a top journal. On the other hand, I expect the student to present something that shows that he/she is thoughtful, hardworking, and capable of

coming up with a potentially fruitful research idea. I expect that the presentation will help all these elements transpire.

AI tools can be a good starting point...but...do not believe in all you read from these tools...ask questions, be critical, think about it...do research...YOU ARE IN A PhD after all 😊

Demonstração da coerência dos conteúdos programáticos com os objetivos da unidade curricular:

Os tópicos a lecionar incluem o estabelecimento de objetivos empresariais e de governanças, a gestão de dívida e capital próprio e a fixação de uma estrutura de capital ótima, as interações empresariais com o mercado para controlo corporativo, orçamentos de capital e o uso de opções reais, dificuldades financeiras e reestruturação, remuneração de gestores e sistemas de incentivos, e a ética nas finanças empresariais. Especial atenção será dada à complexidade crescente do ambiente empresarial atual e ao afastamento das hipóteses de um mercado de capitais ideal.

No mundo real atual em constante mutação, economia global e dado o ambiente de negócios turbulento em que se vive, estas decisões tornam-se mais complexas e desafiadoras no contexto internacional. Em particular, as diferenças globais entre sistemas de taxas, risco cambial, risco político e qualidade de governança todos têm impacto no modo como as decisões devem ser tomadas. Para terem sucesso e levar o seu conhecimento de finanças empresariais ao nível seguinte, os profissionais de finanças precisam também de um entendimento sólido sobre estas questões.

Program and goals coherence:

Topics include the setting of firm objectives and governance, the management of corporate debt and equity, and the setting of an optimal capital structure, the firm's interactions with the market for corporate control, capital budgeting and the use of real options, financial distress and restructuring, managerial remuneration and incentives, and ethics in corporate finance. Special attention is given to the increasing complexity of the actual business environment and departures from the assumptions of an ideal capital market.

In today's constantly shifting global economy and turbulent business environment, such decisions are more complex and challenging than ever. Global differences in regulation, taxation, exchange risk, political risk, and governance quality impact on how financial decisions should be made. To succeed and take their knowledge of corporate finance to the next level, finance professionals need a solid understanding of these international complexities.

Demonstração da coerência das metodologias de ensino com os objetivos de aprendizagem da unidade curricular:

Integrar o conhecimento de finanças empresariais, contabilidade e análise económica, aferição de risco e investimentos, e apostar no desenvolvimento da competência dos alunos em executar estratégias financeiras empresariais. Examinar os assuntos respeitantes ao financiamento empresarial do ponto de vista dos executivos, acionistas e conselheiros empresariais. Usar as

melhores práticas nas ferramentas financeiras e técnicas, realizar uma série de simulações baseadas nos negócios de finanças empresariais atuais e projetos. Estas simulações exporão o aluno a assuntos de finanças empresariais e conduzirão à adoção de soluções, bem como providenciam experiência real prática na gestão de situações de avaliação, estrutura de capital, afetação de investimentos, governança corporativa, fusões e aquisições, opções reais, ética e finanças empresariais internacionais. As aulas estão estruturadas para maximizar a sinergia entre teoria e prática, providenciar aos alunos ferramentas aplicadas, duráveis e reais de mercado para os seus estágios e carreiras futuras. Será requerida a defesa e exposição destes mesmos casos de estudo ao aluno.

Teaching methodology and goals coherence:

Integrate the understanding of corporate finance, accounting, economic analysis, risk assessment, and investments, and greatly enhance students' competence in executing corporate financial strategy. Examine the issues about corporate finance from the standpoint of corporate executives, shareholders, and corporate advisors. Using current best practices in financial tools and techniques, perform a series of simulations based on actual corporate finance deals and projects. These simulations will expose students to critical corporate finance issues and solutions and provide practical, hands-on experience in dealing with situations in valuation, capital structure, investment allocation, corporate governance, mergers and acquisitions, real options, ethics, and corporate international finance. The classes are structured to maximize the synergy between theory and practice, providing students with portable, durable, and marketable tools for their internships and careers. It will demand active participation in the classroom.